

gain and loss on the sale of capital assets will be considered capital items affecting the corpus only, and the items of depreciation will not affect the amount to be distributed, there being no rule of State law or provision of the trust requiring this deduction from distributable income. In such a case the fiduciary must report on Form 1041, showing a net income for the trust of \$3,500, and must show as the distributive share of the beneficiary the \$5,300 to which he is entitled. The beneficiary must account for the amount actually distributable to him as income, viz, \$5,300, as provided in section 219 (d) and will be entitled to a credit of \$1,000 on account of the dividends in computing the normal tax, but not to any deduction on account of depreciation or capital losses.

If there had been no loss on the sale of capital assets so that the net income of the estate or trust was \$6,500, Form 1041 should show the distributive share of the beneficiary as \$5,300 and the distributive share of the fiduciary as \$1,200; and the fiduciary should file a separate return on Form 1040 A, reporting \$1,200 for taxation.

DANIEL C. ROPER,
Commissioner of Internal Revenue.

Approved March 1, 1920:

D. F. HOUSTON,
Secretary of the Treasury.

(T. D. 2988.)

Income tax—Assessment and administration.

Amending article 29, paragraph 200, Regulations No. 33 (revised).

TREASURY DEPARTMENT,
OFFICE OF COMMISSIONER OF INTERNAL REVENUE,
Washington, D. C.

To collectors of internal revenue and others concerned:

Paragraph 200, article 29, Regulations No. 33 (revised), is hereby amended to read as follows:

Nonresident alien beneficiary.—Where a fiduciary in the United States is the recipient of trust income for which there is but one beneficiary, and that beneficiary a nonresident alien, the fiduciary will be required to make full and complete return on Income Tax Form 1040 or 1040A, as the case may be, for this trust income on behalf of the nonresident alien, and pay any and all normal tax found by such return to be due, and any and all surtax, provided the income is not returned for the purpose of the tax by the beneficiary. Where there are two or more beneficiaries, one or all of whom are nonresident aliens, the fiduciary shall render a return on Form 1041, and a personal return on Form 1040 or 1040A, for each nonresident alien beneficiary.

J. H. CALLAN,
Acting Commissioner of Internal Revenue.

Approved March 3, 1920:

D. F. HOUSTON,
Secretary of the Treasury.